Problem Statement

AI Fraud Detector for Small Businesses · generated November 09, 2026

The problem

Online fraud costs merchants far more than the stolen goods: every fraudulent order also brings a chargeback fee, lost shipping, staff time and higher payment-processing risk. Large retailers employ fraud teams and buy enterprise tools; small businesses typically rely on gut feeling or a handful of static rules ("block orders over $500 from abroad").

Why static rules fail

- They block good customers: travellers, VPN users and big-but-genuine purchases (false positives cost sales and loyalty).
- They miss quiet fraud: new accounts using stolen cards for ordinary-looking amounts.
- They can't see links across orders: one device or card shared by many accounts.
- They give no explanation, so owners can't tell a good flag from a bad one.

Who is affected

Independent online shops, marketplaces sellers and service businesses with roughly 100-10,000 orders per month, no dedicated risk staff, and thin margins where a few chargebacks wipe out a week's profit.

Opportunity

Fraud leaves combined traces across network, device, behaviour and transaction data. A model that learns these combinations, scores every order in milliseconds and explains itself can give small businesses the protection of a fraud analyst at the cost of an API call.